

Week 6 Notes - 17-1 Structure of a Promissory Note

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Contents

1 Week 6 Notes - 17.1 Structure of Promissory Notes; The Simple Discount Note	1
1.1 Promissory Note	1
1.1.1 Interest-bearing vs. Non-interest-bearing notes	2
1.2 Simple Discount Note	2
1.3 Treasury Bills	2
1.4 Simple Interest Note	3
1.5 Discounting a Note	3

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1.1 Promissory Note

To borrow money from a lender, borrowers usually need to sign a **promissory note**. This means that borrower is signing a *promise* to repay a certain sum at a fixed time in the future. A promissory note will bear the following information:

Face Value Also known as the principal, the face value is the amount of money borrowed.

Term Length of time the money is borrowed.

Date The date that the note is issued.

Payee The entity that is extending the credit.

Rate The annual rate for the cost of borrowing (percentage).

Maker The entity issuing the note (the borrower).

Maturity date The date the principal and interest rate are due.

1.1.1 Interest-bearing vs. Non-interest-bearing notes

A promissory note can be interest bearing or non-interest bearing. To be a proper interest bearing promissory note, the note must state the rate of interest. It follows that when the note matures, the borrower must pay the original amount plus the interest accrued. The simple interest formula is the same as what we learned in the last chapter. If the borrower signs a *non-interest bearing* promissory note, you just pay back the face-value at maturity.

$$\text{Interest} = \text{Principal} * \text{Rate} * \text{Time}$$

1.2 Simple Discount Note

The **maturity value** (MV), is the sum of principal and interest. Some institutions deduct the loan interest in advance. When banks do this, the note is a **simple discount note**.

Bank discount The interest that banks deduct in advance.

Bank discount rate the interest rate that is discounted in advance.

Proceeds The amount that the borrower receives after the bank deducts its discount from the loans maturity value is the note's **proceeds**.

Effective Rate For a simple discount note, the effective rate is higher than the stated rate - the true rate.

1.3 Treasury Bills

When the Government sells **Treasury Bills** and **Treasury Notes**, its basically a promissory note from the fed.

Treasury Bills A loan ranging from 4 weeks, 13 weeks, and 1 year.

Treasury Note A loan ranging from 2-10 years.

1.4 Simple Interest Note

To find the principal and interest on a **simple interest note**, we can use the **maturity value formula**.

- M = Maturity Rate
- P = Principal
- R = Rate
- T = Time/Term
- I = Interest ($M - P$)

$$M = P + PRT$$

$$P = M / (1 + RT)$$

$$R = I / PT$$

$$T = I / PR$$

1.5 Discounting a Note

Discounting a note just means to sell an interest bearing note before maturity. Here are the steps to discount a note:

Step 1 Calculate the interest and maturity value of the original simple interest note, i.e. $Maturity\ value = Principal + Interest$

Step 2 Calculate the discount period (time the bank holds the note) using a financial calculator.

Step 3 Calculate the bank discount. $Bank\ Discount = Maturity\ Value * Bank\ Discount\ Rate * Bank\ Days\ Held / 360$